EXECUTIVE BRIEFING: Retail Deposit Attrition and Capital-at-Risk

Prepared for: Board of Directors | Chief Risk Officer | ECB Supervisory Stakeholders[cite: 1] Classification: Board-Level Risk Advisory | Confidential[cite: 1]

HEADLINE: 24.26% of portfolio value (EUR 185.59M) has exited -- 4.3 points above the 20.37% account-level churn rate[cite: 1]. Higher-balance customers are leaving disproportionately[cite: 1].

1. Executive KPI Scorecard

- Total Account Base: 10,000[cite: 1]
- Aggregate Churn Rate: 20.37% (Target: below 15.00%) | Status: Critical - Above Target[cite: 1]
- Total Capital Lost: EUR 185.59M (24.26% of ledger) | Status: Critical[cite: 1]
- German Market Churn Rate: 32.44% (Portfolio Avg: 20.37%) | Status: Critical - GRI 1.59[cite: 1]
- Age 46-60 Churn Rate: 51.12% (Portfolio Avg: 20.37%) | Status: Critical - Highest-density loss[cite: 1]
- 3+ Product Failure Rate: 85.89% (Target: below 20.00%) | Status: Mis-selling/friction signal[cite: 1]
- Activity Penalty Spread: 12.58 pts | Status: Actionable, low-cost lever[cite: 1]

Composite Risk Grade: HIGH -- Board Escalation Warranted[cite: 1]

2. Top 4 Systemic Portfolio Vulnerabilities

- Vulnerability 1: German Capital Exposure EUR 97.97M lost (52.8% of all lost balance) from a market holding only 25.1% of accounts (GRI = 1.59)[cite: 1]. This represents the single largest concentration risk in the portfolio[cite: 1].

- Vulnerability 2: Pre-Retirement Wealth Drain (Age 46-60) 51.12% churn (2.5x baseline)[cite: 1]. Represents 41.3% of all churn events and 40.5% of all lost balance from just 16.5% of the account base[cite: 1].

- Vulnerability 3: The Multi-Product Paradox 2 products = 7.58% churn (optimal), while 3 products = 82.71% and 4 products = 100.00% (Blended 3+ failure rate: 85.89%)[cite: 1]. Signals cross-sell governance failure rather than loyalty gains[cite: 1].

- Vulnerability 4: Inactive Account Drag Inactive members churn 12.58 points higher than active members (26.85% vs. 14.27%)[cite: 1]. This serves as the lowest-cost, highest-leverage operational lever[cite: 1].

3. Strategic Action Plan

Priority Framework (Impact vs. Urgency)

- High Urgency / High Impact [Immediate Focus]:

    - German deposit retention and yield re-pricing[cite: 1]
    - Age 46-60 wealth advisory deployment[cite: 1]

- High Urgency / Lower Impact:

- Inactive-member re-engagement campaigns[cite: 1]

- Lower Urgency / High Impact:

  - Cross-sell governance cap (enforce 2-product ceiling)[cite: 1]

- Lower Urgency / Lower Impact [Deprioritized]:

  - Credit-card retention marketing (no statistical effect: 20.18% vs. 20.81%)[cite: 1]

Immediate Actions (0-90 Days)

1. Germany: Launch retention-desk outreach for at-risk, high-balance German accounts; commission deposit-yield elasticity study against competing German neobanks[cite: 1].
2. Age 46-60: Stand up dedicated pre-retirement wealth advisory track with proactive RM outreach triggered on declining activity[cite: 1].
3. Product Governance: Freeze uncontrolled 3rd/4th-product cross-sell; require managerial sign-off beyond 2 products[cite: 1].
4. Activity: Deploy low-cost engagement nudges (app and transaction triggers) portfolio-wide to close the 12.58-pt activity gap[cite: 1].

4. Projected Recovery -- Scenario Simulation

Simulated Intervention: 20% reduction in German churn + 25% retention boost in Age 46-60 + 15% cross-sell conversion (1 to 2 products)[cite: 1].

Target Outcomes

- Capital Preserved: ~EUR 48.2 Million[cite: 1]
- Blended Churn Rate: Reduced from 20.37% to ~15.4% (Down 4.97 pts)[cite: 1]
- Target Trajectory: Portfolio moves within target threshold (below 15.0%), narrowly reinforcing execution urgency[cite: 1].

Recovery Levers Breakdown

- German churn reduction (-20%): Yield re-pricing + retention desk (largest single balance contribution) [cite: 1].
- Age 46-60 retention (+25%): Wealth advisory deployment (addresses highest loss-density segment) [cite: 1].
- Cross-sell conversion (+15%): Capped 1-to-2 product migration (moves 50.8% of account volume toward 7.58% churn optimum)[cite: 1].

Inaction preserves a 24.26% capital-at-risk exposure and a churn rate 5.4 points above target[cite: 1]. The modeled intervention set is achievable with existing product and advisory infrastructure and recovers ~EUR 48.2M[cite: 1].